receiver. The examples are, old age pension, unemployment compensation, disaster relief payment, interest paid on public debt, taxes paid to government, etc.

Tax paid to government is an example of current transfer. Tax is a compulsory levy payable by an institutional unit to the government without any corresponding entitlement to receive a definite and direct quid pro quo from the government. Quid pro quo refers to something given or taken equivalent to another.

Three main kinds of current transfers are:
a. Current taxes on income, wealth, etc.;
b. Social contributions and benefits;
c. Other current transfers.

a. Current taxes on income, wealth, etc,

It consists mainly of taxes on the incomes of households or profits of corporations and of taxes on wealth that are payable to the government. To put it in short, it consists of income tax and wealth tax payable by the households and corporations to the government.

b. Social contributions and benefits

Social contributions are payments to social insurance schemes and other social security payments like provident fund, payment to new pension scheme, etc. These payments are made either by employers or employees or by both. Households themselves make these kinds of payments in their capacity as employed, self-employed or unemployed persons.

Social benefits are current transfers received by households. It is intended to provide for the needs that arise from certain events or circumstances, for example, sickness, unemployment, retirement, housing, education or family circumstances. Social benefits may be provided under social insurance schemes or by social assistance.